

Financial Statements

Statement of Financial Position

As at 31 December 2023

	Notes	31 December 2023	31 December 2022
Assets			
Cash and balances with central banks	3	2,254,639	1,533,188
Loans and advances to banks	4	405,051	753,633
Financial assets at fair value through profit or loss			
- Trading derivatives	37	2,068	3,917
- Non-trading derivatives	37	4,401	5,141
Financial assets at fair value through other comprehensive income	6	430,001	220,562
Loans and advances to customers	5	2,651,006	2,552,939
Property and equipment	7	25,027	28,158
Intangible assets	8	7,522	5,858
Current tax asset	12	-	-
Other assets	9	2,830	2,324
Total Assets		5,782,545	5,105,720
Liabilities			
Deposits from banks	10	287,495	333,829
Deposits from customers	11	4,685,907	3,995,313
Financial liabilities at fair value through profit or loss			
- Trading derivatives	37	1,746	3,282
- Non-trading derivatives	37	7,163	469
Current tax liability	12	19,199	6,109
Deferred tax liability	12	2,440	3,434
Other liabilities	13	23,416	109,962
Total Liabilities		5,027,366	4,452,398
Equity			
Share capital	14	136,836	136,836
Retained earnings	14	611,557	511,210
Other reserves	14	6,786	5,276
Total Equity attributable to owners of the Bank		755,179	653,322
Total Liabilities and Equity		5,782,545	5,105,720
Commitments and Contingencies	16	806,177	551,543

Statement of Comprehensive Income

For the Year Ended 31 December 2023

	Notes	2023	2022
Statement of Income:			
Interest income	17	279,194	116,213
Interest expense	17	(108,719)	(30,754)
Net interest income		170,475	85,459
Fee and commission income	18	22,689	22,998
Fee and commission expense	18	(5,683)	(5,080)
Net fee and commission income		17,006	17,918
Valuation results and net trading income	19	3,516	3,208
Investment income	20	(156)	(4,678)
Other income	21	66	353
Other expenses	21	(2,986)	(3,707)
Total income		187,921	98,553
Expected credit losses on financial instruments	28	(1,026)	1,779
Personnel expenses	23	(32,332)	(29,499)
Depreciation and amortisation	7/8	(2,818)	(2,899)
Other operating expenses	22	(15,108)	(12,977)
Total expenses		(51,284)	(43,596)
Income before tax		136,637	54,957
Income tax expense	12	(35,945)	(14,164)
Net Income		100,692	40,793
Other Comprehensive Income			
<u>Items that will not be reclassified to profit or loss</u>			
Property and equipment			
Revaluation	7	(2,931)	(2,082)
Tax effect (deferred)		756	537
Net gain on revaluation of property and equipment		(2,175)	(1,545)
<u>Items that may subsequently be reclassified to profit or loss:</u>			
Cash flow hedges			
Effective portion of changes in fair value	37	292	1,700
Reclassified to profit or loss	37	(586)	(296)
Tax effect (deferred)		76	(362)
Net gain on cash flow hedges		(218)	1,042

	Notes	2023	2022
<i>Debt instruments at fair value through other comprehensive income</i>			
Valuation results	6	4,795	(9,054)
Tax effect (current)	12	(1,237)	2,336
Net gain/ (loss) on debt instruments at fair value through other comprehensive income		3,558	(6,718)
Total other comprehensive income for the year, net of tax attributable to the shareholder		1,165	(7,221)
Total comprehensive income for the year, net of tax attributable to the shareholder		101,857	33,572

Statement of Changes in Equity

	Notes	Share Capital and Share Premium	Fair value reserve	Hedging Reserve	Other legal reserves	Retained Earnings	Total Equity
Balance as at 1 January 2023		136,836	(6,685)	879	11,082	511,210	653,322
Profit for the year						100,692	100,692
<i>Other comprehensive income</i>							
Net unrealised gains/(losses) on fair value assets portfolio			3,548				3,548
Net gains/(losses) on fair value assets and cash flow hedges transferred to profit or loss							
Foreign currency translation differences on fair value portfolio							
Net fair value gains/(losses) from cash flow hedges				(218)			(218)
Net change in expected credit losses on FVOCI instruments			10				10
Revaluation surplus on building					(2,175)		(2,175)
Total comprehensive income			3,558	(218)	(2,175)	100,692	101,857
Translation differences							
Other movements					345	(345)	
Balances as at 31 December 2023	14	136,836	(3,127)	661	9,252	611,557	755,179

	Notes	Share Capital and Share Premium	Fair value reserve	Hedging Reserve	Other legal reserves	Retained Earnings	Total Equity
Balance as at 1 January 2022		136,836	33	(163)	12,990	470,069	619,765
Profit for the year						40,793	40,793
Other comprehensive income							
Net unrealised gains/(losses) on fair value assets portfolio			(6,695)				(6,695)
Net gains/(losses) on fair value assets and cash flow hedges transferred to profit or loss							
Foreign currency translation differences on fair value portfolio							
Net fair value gains/(losses) from cash flow hedges				1,042			1,042
Net change in expected credit losses on FVOCI instruments			(23)				(23)
Revaluation surplus on building					(1,545)		(1,545)
Total comprehensive income		-	(6,718)	1,042	(1,545)	40,793	33,572
Other movements					(363)	348	(15)
Balances as at 31 December 2022	14	136,836	(6,685)	879	11,082	511,210	653,322

Statement of Cash flows

For the year ended 31 December 2023

	Notes	1 January 2023 - 31 December 2023	1 January 2022 - 31 December 2022
Cash flows from operating activities:			
Profit for the year		100,692	40,793
<i>Adjustments for:</i>			
Depreciation and amortisation	7,8	2,818	2,899
Expected credit losses on financial instruments	28	1,026	(1,779)
Tax expense	12	35,945	14,164
		140,481	56,077
<i>Changes in:</i>			
Loans and advances to banks	4	297,821	(125,171)
Financial assets at fair value through profit or loss	37	2,295	875
Loans and advances to customers	5	(99,093)	(15,947)
Other assets	9	(506)	(751)
Deposits from banks	10	(44,915)	(62,433)
Deposits from customers	11	690,594	957,491
Financial liabilities at fair value through profit or loss	37	5,158	(23,204)
Other liabilities, accrued expenses and provisions	13	(86,546)	78,321
		905,289	865,258
Income taxes paid	13	(24,254)	(3,986)
Net cash from / (used in) operating activities		881,035	861,272
Cash flows from investing activities:			
Acquisitions in investment portfolio	6	(333,878)	(410,586)
Proceeds from investment portfolio	6	129,236	431,169
Purchase of tangible and intangible assets	7,8	(4,319)	(2,529)
Net cash from / (used in) investing activities		(208,961)	18,054
Effect of exchange rate changes		(1,411)	(1,974)
Net increase / (decrease) in cash and cash equivalents		670,662	877,352
Cash and cash equivalents at the beginning of the period	1	1,579,446	702,094
Cash and cash equivalents at the end of the period	1	2,250,108	1,579,446
Additional information on operational cash flows from interest			
Interest received		287,992	130,401
Interest paid		86,819	29,829

Notes to the financial statements

Notes to the accounting policies

Reporting entity

GarantiBank International N.V. (hereafter: 'GBI' or 'the Bank') has its statutory seat in Amsterdam, The Netherlands. Its head office is located at Keizersgracht 569-575, 1017 DR Amsterdam, The Netherlands. Its Chamber of Commerce number is 33225009. The Bank also operates a branch in Germany.

The financial information of GBI is included in the financial statements of its parent Türkiye Garanti Bankası A.Ş. (Garanti BBVA), incorporated in Türkiye, and in those of the ultimate parent of the group, Banco Bilbao Vizcaya Argentaria S.A. (BBVA), incorporated in Spain. GBI works in close cooperation with its parent, which owns 100% of the shares of GBI, and with the ultimate parent of the group, which owns 85.97% of the shares of Türkiye Garanti Bankası A.Ş.

GBI is mainly active in international trade finance and corporate lending, as well as in retail banking.

Authorisation of the financial statements

On 28 February 2024, the Managing Board prepared the annual accounts of GBI as at and for the year ended 31 December 2023 and the Supervisory Board adopted a resolution, to propose that the Shareholder adopt the 2023 financial statements at the next Annual General Meeting of Shareholders to be held in 2024.

Basis of preparation

The GBI financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union (EU) and Part 9 of Book 2 of the Dutch Civil Code.

GBI's annual accounts have been prepared on a going concern basis.

Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Notable areas that involved judgements, estimates and assumptions are:

- Credit risk of financial instruments as disclosed in notes 27 to 32:

Judgement is exercised in determining the extent of the expected credit loss (ECL) for financial assets assessed for impairment both individually and collectively. The ECL for financial assets is based on assumptions about risk of default and expected loss rates. GBI uses judgement in making these assumptions and selecting the inputs to the ECL calculation, based on the historical observations, existing market conditions as well as forward-looking estimates at the end of each reporting period. Changes in such judgements and analyses may lead to changes in the ECL over time.